



Offshoring

Moving jobs outside the country where a company is based is called offshoring. Either the company employs people overseas to perform some functions, or work is outsourced to a third party overseas.

How it works

Offshoring grew in the 1980s as Western companies with high labor costs realized they could make significant savings by manufacturing in countries with lower wages. Information technology (IT) services followed, enabled by the internet and global communications. However, companies are now rethinking this strategy, driven by factors including

the need to be close to customers, consumer dislike of overseas call centers, high unemployment in Western countries after the 2008 financial crisis, global wage equalization, and growing transportation costs. Some firms are now nearshoring—for instance, US firms placing operations in Canada—or reshoring, bringing activities back to their home country.

Case study: global expertise

Offshoring started in India and today it still leads the way. The country's IT and business processing outsourcing export industries employ more than 2.2 million people and are worth more than \$100 billion. Other regions have different areas of expertise—for example, Eastern Europe specializes in IT services.

Examples of offshoring

KEY

 Banking	 IT	 Technology	 Technical support
 Financial services	 Design	 Back-office functions	 Software
 Insurance	 Call centers	 Engineering	 Manufacturing
 Research and development	 Business processes	 Customer support	

